(i) **Single entry:** Single entry is an entry in which only two accounts are involved, one account is debited and another is credited.

(ii) **Compound entry:** Compound entry is an entry in which more than two accounts are involved. Either more than one account is debited or more than one account is credited or both.

(iii) **Opening entry:** Through opening entry the balances of assets and liabilities at the end of the previous accounting year are brought forward to the current accounting year. This is dealt in unit 6.

(iv) **Closing entry:** At the end of the accounting period, the nominal accounts are closed by transferring to trading account or profit and loss account. All direct expenses and direct revenues are transferred to Trading Account. All indirect expenses and indirect revenues are transferred to Profit and Loss Account. This is dealt in unit 6.

(v) **Rectifying entry:** Rectifying entries are passed to make correction of errors in accounting. This is dealt in unit 9.

(vi) **Adjusting entry:** Adjusting entry is the entry made for the transactions which remain unrecorded or require adjustment after closing the accounts for the accounting year. This is dealt in unit 13.

(vii) **Transfer entry:** Transfer entry is the entry through which amount is transferred from one account to another account.

3.8.5 Application of rules of double entry system

Rules of double entry system of book-keeping are applied for business transactions as follows:

(i) **Personal account**

'Debit the receiver and Credit the giver'. In case of personal accounts, the rule is debit the account of the person who receives the benefit and credit the account of the person who gives the benefit.

Example	:	Paid Anbu ₹ 10,000 by cheque
Accounts affected	:	Anbu account and Bank account
Nature of accounts	:	Both are personal accounts in nature
Rule	:	Debit the receiver and credit the giver
Applying the rule	:	Anbu is the receiver and the Bank is the giver
Debit		Anbu account
Credit		Bank account

(ii) **Real account**

'Debit what comes in and Credit what goes out'. In case of real accounts, the rule is debit what comes in and credit what goes out.

Example	:	Furniture purchased for cash ₹ 5,000
Accounts affected	:	Furniture account and Cash account
Nature of accounts	:	Both are real accounts in nature
Rule	:	Debit what comes in and credit what goes out
Applying the rule	:	Furniture comes in and cash goes out
Debit		Furniture account
Credit		Cash account

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